

# Deep Assessment Report

**We are a privately owned real estate holding company owning three stabilized residential assets in Berlin and...**

A case-specific assessment report for tokenization viability and value creation.

September 13, 2026

A TVAC assessment by Astoval

CLARITY  
BEFORE  
COMMITMENT.

## About this report

TVAC evaluates whether tokenizing a specific asset / structure creates net added value, using the five-factor model:

|                               |                                                                                                                  |
|-------------------------------|------------------------------------------------------------------------------------------------------------------|
| <b>Deep Assessment Report</b> | We are a privately owned real estate holding company owning three stabilized residential assets in Berlin and... |
| <b>Generated</b>              | September 13, 2026                                                                                               |
| <b>Methodology</b>            | TVAC — Tokenization Value-Add Calculator                                                                         |
| <b>Published by</b>           | Astoval ApS                                                                                                      |

**Added Value = (New Opportunities (NO) + Cost Savings (CS) + Risk Reduction (RR)) – (Tokenization Costs (TC) + New Risks (NR))**

This document is generated using the TVAC (Tokenization Value-Add Calculator) methodology and provides methodology-based informational analysis and decision-support only. It is not legal, regulatory, financial, investment, or tax advice.

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# 01 | Executive summary

## TOKENIZATION VALUE VERDICT

**Conditional Go**

## ADDED VALUE

**-3.00**

plus 8.00 minus 11.00

**Headline:** This case is sufficiently defined for a meaningful case-specific assessment, but it is not yet a finalized execution design. The assessment lands at Conditional Go with an estimated Net Added Value of -3.00 (Plus: 8.00 - Minus: 11.00).

**Important interpretation note:** This verdict concerns tokenization added value only. A Viable or Conditional Go verdict does not mean that the underlying asset is a good investment, that projected returns are realistic, that credit risk is acceptable, or that the instrument is suitable for any investor.

### Case design stage: Structured Concept

This assessment is based on a partially defined design. The case is sufficiently clear for a meaningful case-specific evaluation, but several structural choices remain open.

## 1.1 What is different about this case

What is different about this case is that the capital-raising story may sound stronger than the underlying economics justify. The case can work, but only if the legal wrapper, investor scope, and liquidity design remain disciplined enough that tokenization improves funding flexibility without adding disproportionate structuring and servicing drag.

## KEY TAKEAWAYS

- 01 Key findings:** The current value logic is supported mainly by new opportunities and risk reduction. Across New Opportunities, Cost Savings and Risk Reduction, the combined Plus score is 8.00. TVAC identifies case-specific potential, but part of the outcome still depends on validation and on how the remaining structural choices are finalized.
- 02 Key constraints:** The main drag comes from tokenization costs and new risks, totalling 11.00. The verdict remains sensitive to unresolved design choices, especially where custody, settlement, compliance controls, and delivery economics are not yet fully locked.
- 03 Decision posture:** Proceed only if the remaining material design choices are finalized before build-out. The case is not yet ready to move directly into implementation; it still requires disciplined design completion around investor scope, compliance controls, custody/settlement, and operating model.
- 04 Impact:** If those remaining design choices are finalized well, the case has a plausible path to a stronger value profile by reducing New Risks (NR)/Tokenization Costs (TC) and making the identified benefits more likely to survive implementation. If they are not, the current value case remains too fragile for straightforward execution.

## 02 | Asset class & market context

This section provides case-derived structural context for a proposed real-estate tokenization structure in Luxembourg. It uses the user-supplied design and the TVAC methodology; it does not introduce unverified claims about current adoption, market volumes, prevailing local structures or market maturity.

This is a rights, ownership-structure, distribution and servicing case. Tokenization should not be treated as creating liquidity by itself; the relevant test is whether the proposed structure improves investor access, administration, governance or transaction processes relative to a conventional SPV, fund or direct-ownership arrangement.

Verified external market data can deepen this section where activated profile claims are available. Until then, current market size, adoption and prevailing local practice remain outside the assessed evidence base.

**Current market phase:** Case-derived structural context only; external market maturity is not assessed from verified market sources for this case.

### Typical structural strengths:

- The case describes a legal or economic wrapper that can be assessed for rights mapping, governance and lifecycle administration.
- A controlled investor scope can support a more bounded initial design than unrestricted public distribution.

### Key structural weaknesses & frictions:

- Property rights, issuer or SPV rights, authoritative registers and investor entitlements must remain aligned across legal documentation and the token layer.
- Secondary demand, valuation, transfer friction and the full legal and administrative cost stack must be compared with realistic conventional alternatives.
- The multi-jurisdiction sale scope increases the need to separate common design logic from local distribution, investor-category, marketing and transfer requirements.

No live market data or unverified model memory was used for this market-context section. Where no verified market source is activated, current adoption, prevailing practice and market phase remain unassessed.

## 03 | Analysis result

ADDED VALUE

**-3.00**

PLUS

8.00

MINUS

11.00

### Verdict rationale:

This case lands at Conditional Go because the current structure produces an Added Value of -3.00: the strongest supportive driver is New Opportunities (5/10), while the main friction is Tokenization Costs (7/10). The Luxembourg SPV wrapper may create a more accessible format for smaller professional tickets in Germany and the Netherlands than a traditional bilateral mezzanine process. The structure adds a Luxembourg issuance layer over German property-owning GmbHs, which increases legal, operational and governance workload. This rationale concerns tokenization added value only and does not validate legal, regulatory, tax, financial, investment, credit, yield, issuer, or implementation suitability.

### Factor score profile

| Factor             | Score | Case-specific driver                                                                                                                                                           |
|--------------------|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| New Opportunities  | 5/10  | The Luxembourg SPV wrapper may create a more accessible format for smaller professional tickets in Germany and the Netherlands than a traditional bilateral mezzanine process. |
| Cost Savings       | 0/10  | The case states long-term administrative efficiency as an objective, but no realized savings, provider quotations or validated process baseline are supplied.                  |
| Risk Reduction     | 3/10  | Whitelist-based onboarding with full KYC/AML may reduce transfer-discipline and investor-eligibility risk relative to a less controlled distribution model.                    |
| Tokenization Costs | 7/10  | The structure adds a Luxembourg issuance layer over German property-owning GmbHs, which increases legal, operational and governance workload.                                  |
| New Risks          | 4/10  | Cross-border regulatory interpretation remains unresolved because final classification of the instrument and final distribution mapping are not confirmed.                     |

**Added Value:** -3.00 (plus 8.00 / minus 11.00)

### Highest-priority evidence gaps:

- No verified case-specific regulatory claim is activated; approved baseline context supports structured scoping, while case-specific legal application remains unresolved.
- Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.

- Document and validate the enforceable link between the token, underlying rights, ownership records and cash-flow waterfall.

**Regulatory coverage:** Luxembourg · Unverified

This report uses approved baseline context and any activated versioned claims. No verified case-specific jurisdictional claim is activated unless explicitly shown below; final local application remains unresolved and requires qualified local verification.

Claim IDs, source versions and validation questions are documented in Appendix A.6.

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### 3.1 Value pathways

This section isolates the mechanisms through which tokenization could create incremental value over a realistic conventional alternative. It is not an assessment of whether the underlying asset or financing need is attractive in its own right.

- The proposed instrument is a Luxembourg SPV wrapper linked to net rental cash flow from three stabilized residential assets in Berlin and Hamburg, which gives the case a clear capital-formation logic rather than a pure workflow-optimization logic.
- Tokenization may widen access within a limited target segment by allowing smaller professional ticket sizes than a traditional mezzanine process, while still keeping investor access gated through whitelisting and full KYC/AML.
- The user-stated transparency objective is credible at the design level because profit participation, principal repayment and transfer restrictions can be documented in a more structured investor-facing format than a loose bilateral placement process.
- The planned quarterly liquidity windows create a potential secondary-market value pathway, but that benefit remains conditional because venue access, operating rules and actual investor participation are not evidenced.
- Long-term administrative efficiency is part of the stated rationale, but in this case it competes against the additional Luxembourg SPV, cross-border and regulated-provider layers rather than clearly outweighing them.

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### 3.2 Investor segmentation

Investor scope affects both upside and friction. A narrower professional or institutional audience can reduce distribution and compliance complexity, but it can also limit the access or liquidity benefit that tokenization is expected to create.

- The intended audience is non-retail and geographically limited, which reduces some distribution complexity relative to a broad retail strategy.
- For this Berlin/Hamburg residential portfolio, the economic rights are income and principal oriented rather than governance oriented, which may suit yield-focused professional investors better than investors seeking operational control.
- Fractional access is relevant here mainly as smaller professional ticket access, not democratized retail access.

### 3.4 Regulatory path

This is regulatory scoping, not a legal opinion. The purpose is to identify the verified regulatory context and the design questions that materially affect the case, while making clear what still requires qualified jurisdiction-specific validation.

- TVAC has approved baseline regulatory context for Luxembourg, but it has not activated a verified case-specific local claim. The frameworks below are used for structured scoping only; applicability and current detailed conditions remain to be independently confirmed.
- EU scoping should first distinguish a token that is a financial instrument or other regulated financial product from a crypto-asset governed by MiCA. MiCA does not replace the EU financial-services framework for instruments already covered by that framework, and tokenization does not itself determine classification.
- Where the token represents a transferable security or another financial instrument, MiFID II, the Prospectus Regulation and related national rules may shape distribution, investor access, intermediary roles and disclosure. The final facts determine which requirements or exemptions are relevant.
- The DLT Pilot Regime provides an EU framework for specified DLT market infrastructures, while MiFID II, CSDR and national implementation remain relevant to trading, settlement, custody, recordkeeping and market-infrastructure functions according to the final design.
- EU-level analysis must be combined with member-state law and supervisory practice for issuer or SPV law, property and security rights, authoritative registers, insolvency, tax, marketing and operational roles. An EU framework reference does not resolve those national questions.
- For real-estate tokenization, the financial-instrument and distribution analysis must be separated from the national legal treatment of the property, the issuer or SPV, investor rights and land or ownership records. The token layer should not be assumed to replace legally authoritative national records.
- Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in Luxembourg: EU securities and markets framework (MiFID II / Prospectus / etc.) (EU baseline); EU crypto-asset framework (MiCA); EU fund/management frameworks (as relevant); AML regime (Luxembourg / EU); Data protection (GDPR). Their case-specific applicability, current conditions and interaction must be independently confirmed.

- The user-selected 'accredited' label should be treated as a generic interface term rather than as a confirmed local legal category in Germany or the Netherlands.
- Interest-rate sensitivity, valuation stability and renovation execution risk need to be positioned clearly because they may matter more to investor decision-making than the token format itself.

### 3.3 Operational costs

This section distinguishes plausible process savings from the additional cost of introducing the token layer. A saving becomes a strong value driver only when it can be compared with the current process and is not offset by data, integration, provider or compliance work.

- The proposed structure adds a Luxembourg SPV layer on top of German property-owning GmbHs, which is likely to remain a significant cost category even though no full budget is provided.
- Whitelisting, KYC/AML, regulated custody, venue access and ongoing investor communications all add recurring operating requirements compared with a simpler conventional mezzanine placement.
- Cross-border tax processing may require additional controls, documentation and reconciliation effort that can erode any long-term administrative efficiency case.
- Because no validated non-tokenized baseline is supplied, TVAC cannot conclude that the proposed tokenized route is cheaper overall than a traditional private note or mezzanine process.
- Any cost-efficiency argument therefore depends on later scale, standardization and provider economics that are not yet evidenced in this case.

- Issuer structure and investor base often determine the dominant regulatory path.
- Distribution/marketing constraints can be a primary design driver for cross-border setups.
- Custody/safeguarding and governance controls can be decisive for institutional participation.
- Germany: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- Germany — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in Germany: EU securities and markets framework (MiFID II / Prospectus / etc.) (EU baseline); German electronic securities framework (general); AML regime (Germany / EU); Data protection (GDPR). Their case-specific applicability, current conditions and interaction must be independently confirmed.
- Germany — baseline scoping: EU baseline applies; local supervisory practice and implementation details can matter.
- Germany — baseline scoping: Tokenized instruments that resemble securities typically inherit securities offering/distribution constraints.
- Netherlands: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- Netherlands — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in Netherlands: EU securities and markets framework (MiFID II / Prospectus / etc.) (EU baseline); EU crypto-asset framework (MiCA); AML regime (Netherlands / EU); Data protection (GDPR). Their case-specific applicability, current conditions and interaction must be independently confirmed.
- Netherlands — baseline scoping: Classification and distribution perimeter remain the main gating factors.
- Netherlands — baseline scoping: Marketing constraints and investor communication discipline matter for compliance outcomes.

### 3.5 Custody & venue fit

Custody and venue design should be proportionate to the value thesis. If the case does not depend on continuous secondary trading, extra custody, venue or transfer complexity should be justified by a concrete operational, control or distribution benefit.

- A regulated custodian is a sensible fit for a professional-investor real-estate cash-flow instrument because it may support governance, safekeeping and reporting discipline.
- The user describes a regulated trading venue and uses the label 'MTF or other regulated venue (user-selected interface label; local classification unconfirmed)'; in EU-facing analysis, the local venue mapping remains unresolved and should be independently validated.
- Quarterly liquidity windows are more consistent with the stabilized-income profile of Berlin and Hamburg residential assets than an implied always-on trading promise would be.
- T+1/2 settlement is operationally conservative and reduces pressure on the cash leg, but it also means the case should not overclaim settlement innovation as a primary source of value.
- Venue, custody and registry functions may fit the intended professional market, but the commercial and operational integration of those roles is not evidenced.

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### 3.6 Settlement & Cash-Leg Readiness

Settlement is assessed against the case's actual value logic, not against an assumption that tokenization requires digital money or T+0. The key question is whether the cash leg can operate reliably for the intended investors and operating model without unnecessary complexity.

- Cash-leg dependency is assessed as High. In practical terms, a material part of the claimed value depends on the quality and readiness of the settlement design. The assessment is based on the stated instrument/asset type (wrapper) and the stated liquidity intent (quarterly), not on a generic assumption that every tokenized asset requires advanced digital money.
- Current payment / settlement indication: T+1/T+2 securities settlement. Readiness is assessed as Defined conventional design.
- High dependency: only user-stated benefits that depend on liquidity, DvP, collateral mobility, automated payments or 24/7 settlement should be constrained by weak cash-leg evidence.
- Design implication: claims about liquidity, automated cash flows or smoother settlement should be kept conservative until the payment rails, settlement finality and operational counterparties are specified.

## 04 | Stakeholder added value

The stakeholder view shows where this case creates value and where its costs and risks actually sit. The scores below do not change the overall TVAC score; they expose whether the incentives are aligned across the parties who must make the structure work.

### 4.1 Stakeholder added value scores

| Stakeholder                                                                                                                                                                                                                                                                                                                                                  | NO  | CS  | RR  | TC   | NR  | Net           |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|-----|-----|------|-----|---------------|
| <b>Asset owner / Issuer (sponsor, manager)</b><br>Expected value depends mainly on whether a Luxembourg-anchored income-linked structure marketed into Germany, Netherlands can improve funding flexibility and investor proposition without cross-border compliance, periodic-liquidity design, and venue/custody costs overwhelming Asset Owner economics. | 5.0 | 0.0 | 3.0 | 10.0 | 8.0 | <b>-10.00</b> |
| <b>Investors</b><br>Expected value depends mainly on whether investors can gain a clearer income-linked exposure through a Luxembourg note setup marketed across Germany, Netherlands, with better reporting and a user-stated transfer process that is independently validated rather than assumed to provide broad market liquidity.                       | 6.0 | 0.0 | 4.0 | 6.0  | 7.0 | <b>-3.00</b>  |
| <b>Infrastructure providers</b><br>Expected value depends on whether providers can support a Luxembourg-anchored wrapper distributed across Germany, Netherlands, with reporting, custody and any user-stated transfer mechanics that are operationally credible without assuming secondary-market depth.                                                    | 8.0 | 0.0 | 1.0 | 6.0  | 2.0 | <b>1.00</b>   |

Here, overall project TC can remain moderate while Asset Owner TC is materially higher, because setup, integration, legal/compliance work, and delivery burden are concentrated on the initiating party rather than spread evenly across the structure. Likewise, stakeholder NR can exceed overall project NR where a specific party bears more custody, transfer, disclosure, or exit-path uncertainty than the structure as a whole.

**Capital-formation interpretation:** For this capital-formation case, the Asset Owner / Issuer score reflects the position before financing has actually been secured: costs, risks and uncertainty are already present, while investor demand, distribution commitments and cost allocation are still unproven. A low score does not by itself mean tokenization would remain unattractive if the structure demonstrably unlocks capital, improves financing flexibility or secures better terms than a realistic conventional alternative. TVAC does not calculate project returns or the value of capital itself; the relevant test is tokenization's incremental contribution to the financing outcome.

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## 4.2 Asset owner / Issuer (sponsor, manager)

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### Expected value (plus)

- The main upside comes from alternative capital access, a clearer income-linked investor proposition and more disciplined investor administration than a realistic conventional non-tokenized alternative.
- The user-selected transfer environment may support a more structured transfer process, but no legal characterization, market depth or liquidity outcome is assumed.
- The selected custody model may support investor confidence and onboarding discipline if its legal and operational role is validated.
- If tokenization demonstrably unlocks capital, financing flexibility or terms that are not realistically available through bank debt, a club deal or a conventional private placement, the initiator's economics can change materially after successful capital formation.

### Costs & risks carried (minus)

- Higher upfront legal/structuring work to ensure enforceability of token-holder rights through the wrapper.
- Cross-border compliance complexity across Luxembourg (issuance) + Germany, Netherlands (sales) (marketing rules, investor eligibility, reporting).
- Listing/admission, ongoing disclosure expectations, and vendor/venue dependency can increase OPEX.
- Whitelist controls can constrain liquidity and require continuous compliance operations.

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### What to agree / do next

- Lock the operating model: rights (term sheet), custody setup, venue path, cash-flow/distribution mechanics, and transfer rules.
- Resolve the highest-priority evidence gaps identified in the report before spending further on build or integration.
- Stress-test the explicitly selected quarterly transfer process: define the operator role, approvals, settlement steps and what happens if matching demand is shallow. No liquidity support is assumed.
- Define a financing-evidence plan: compare target amount, timing, investor access, financing terms and full costs against the realistic conventional alternative before treating tokenization value as proven.

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## 4.3 Investors

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### Expected value (plus)

- The intended investor-side value is access to an income-linked real-asset exposure with potential improvements in reporting and transfer discipline; any advantage over a conventional non-tokenized alternative remains to be demonstrated.
- The selected regulated-custodian design may support safeguarding and auditability if account, ownership and control arrangements are validated.
- A clearer secondary-trading route than typical private market holdings (but liquidity depth is not guaranteed).

### Costs & risks carried (minus)

- Need extra clarity on legal enforceability: what exactly the token represents and how claims are exercised.
- Transfer restrictions (whitelists) can limit who you can sell to, and when.
- Cross-border compliance can reduce distribution breadth and may introduce withholding/reporting complexity.
- Information asymmetry risk if disclosure is light—investors will demand compensating safeguards (audits, reporting, governance).

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### What to agree / do next

- Demand a clean transfer-process note covering the operator role, the explicitly selected quarterly cadence, transfer restrictions, settlement mechanics and what happens if secondary demand is shallow.
- Verify custody and operational controls in operational detail: account model, beneficial ownership evidence, transfer-approval workflow, incident handling, auditability, and how investor rights are evidenced across the custody, registry and operating stack.
- Clarify economics: fee stack (custody/venue/platform), expected reporting cadence, and how cash flows are distributed.

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## 4.4 Infrastructure providers

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### Expected value (plus)

- Infrastructure providers may benefit if they can support a legally and operationally validated wrapper, reporting, custody, and user-defined transfer stack for cross-border income-linked instruments.
- The selected custody model may be relevant to the stated investor scope, but demand and legal necessity are not assumed.
- Venue participation can expand revenue sources (listing, surveillance, member onboarding, reporting).

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### Costs & risks carried (minus)

- Integration and operational complexity (reconciliations, reporting, corporate actions, incident response) often scales faster than expected.
- Regulatory perimeter and liability exposure can increase with cross-border sales, investor-scope expansion, and more complex distribution structures.
- Whitelist logic can interfere with matching/settlement and requires coordination across venue + custodian + issuer.

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### What to agree / do next

- Define interfaces and responsibilities early (RACI): who owns KYC/AML, whitelists, transfers, reconciliations, and reporting.
- Agree evidence expectations: SOC reports, audit trails, code audits, incident runbooks, and SLA/exit clauses.
- Align commercial terms with actual delivery responsibilities and evidenced outcomes; avoid adding a token layer without measurable operational or commercial value.

## 4.5 Who bears the costs and risks?

In a capital-formation case, the issuer may carry substantial structuring, legal, compliance and distribution costs before funding is secured. That is a pre-funding economic position, not necessarily the final outcome. The relevant question is whether tokenization demonstrably produces incremental capital access, financing flexibility or terms that outweigh the added stack relative to a realistic conventional alternative.

**Case-specific conclusion:** Under the current initial configuration, and before capital formation, distribution commitments and cost allocation are proven, this tokenization appears commercially more attractive to service providers than to the initiating Asset Owner.

- A materially negative pre-funding issuer score should trigger a demand, terms and cost-allocation review, not an automatic conclusion that tokenization can never work. It becomes a warning sign if investor demand remains uncommitted, the same capital could reasonably be raised conventionally on similar terms, or provider fees absorb the incremental financing benefit.
- If investor net score is low or negative, expect weak demand unless enforceability, disclosures, custody, and realistic exit paths are improved.

## 05 | Factor breakdown – detailed explanation

This chapter explains the causal basis of the five scores: which facts, assumptions and evidence gaps create upside, and which ones introduce additional friction. The three positive factors ask what tokenization adds relative to a realistic conventional alternative; the two negative factors ask what extra cost or risk the token layer introduces. A low positive score therefore means limited or weakly evidenced tokenization benefit, while a low negative score means limited additional friction. The scores are calibrated methodology judgments, not measured outcomes or legal conclusions.

*Overall, the case is finely balanced, with modeled upside and modeled friction close to each other in magnitude. The structure is directionally viable, but specific design conditions and mitigations need to be met before committing to a full-scale rollout. With an Added Value score of -3, the case remains condition-sensitive and should be judged by whether the key gating conditions can be locked in. Net Added Value is primarily driven by new opportunities at 5/10 on the upside, and constrained mainly by tokenization costs at 7/10 on the friction side.*

### New opportunities (NO)

- The Luxembourg SPV wrapper may create a more accessible format for smaller professional tickets in Germany and the Netherlands than a traditional bilateral mezzanine process.
- Clear contractual economic rights, whitelisting and regulated custody support a more structured investor-access model than an ordinary paper-based placement alone.
- The planned quarterly liquidity windows introduce a genuine additional opportunity relative to fully locked private paper, but the benefit remains conditional because venue access and trading participation are not evidenced.
- Upside is constrained because the target market is still narrow, non-retail and limited to two sale jurisdictions.

### Cost savings (CS)

- The case states long-term administrative efficiency as an objective, but no realized savings, provider quotations or validated process baseline are supplied.
- A Luxembourg SPV, cross-border tax processing, regulated custody and venue access are all likely to add cost categories that offset workflow efficiencies at this stage.
- For a three-asset Berlin/Hamburg residential portfolio, TVAC cannot conclude from the stated facts that tokenization is cheaper overall than a conventional private financing route.

### Risk reduction (RR)

- Whitelist-based onboarding with full KYC/AML may reduce transfer-discipline and investor-eligibility risk relative to a less controlled distribution model.

- Regulated custody and a structured venue concept may improve operational governance and reporting discipline for professional investors.
- The defined economic-rights approach is cleaner than implying direct operational or property control through the token, which helps limit investor-expectation mismatch.
- Risk reduction remains limited because tax, renovation, valuation and interest-rate sensitivities still sit at the center of the investment case.

### Tokenization costs (TC)

- The structure adds a Luxembourg issuance layer over German property-owning GmbHs, which increases legal, operational and governance workload.
- Professional-investor onboarding, whitelisting, custody, registry and venue integration are all recurring requirements rather than one-off design ideas.
- Cross-border sale into Germany and the Netherlands raises documentation, coordination and compliance complexity compared with a simpler single-market raise.
- Because the conventional alternative cost baseline is not provided, the incremental burden cannot be precisely quantified, but it appears heavy in this configuration.

### New risks (NR)

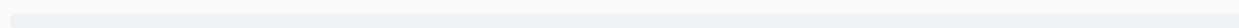
- Cross-border regulatory interpretation remains unresolved because final classification of the instrument and final distribution mapping are not confirmed.
- The relationship between token records, Luxembourg SPV obligations and cash-flow rights sourced from German GmbHs must be documented carefully to avoid legal-technical mismatch risk.
- Quarterly liquidity windows may create expectation risk if investor demand or venue functionality is weaker than planned.
- These risks appear manageable rather than extreme because the assets are stabilized, the target investors are non-retail and the settlement model stays close to conventional capital-market practice.

Factor scores (0–10). Green bars indicate upside factors (New opportunities, Cost savings, Risk reduction). Red bars indicate friction/downside (Tokenization costs, New risks). The text next to each score gives a qualitative label so the numbers are less abstract.

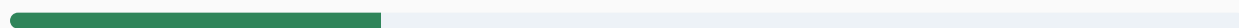
New opportunities 5 / 10 (moderate upside)



Cost savings 0 / 10 (very limited upside)



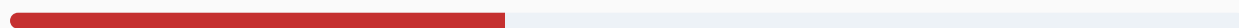
Risk reduction 3 / 10 (limited upside)



Tokenization costs 7 / 10 (material friction)



New risks 4 / 10 (moderate friction)



**Plus (NO + CS + RR): 8**

**Minus (TC + NR): 11**

**Added Value (Plus – Minus): -3**

## 06 | Key risks & mitigation

This matrix prioritizes the report's identified risks by impact and likelihood. It is not a measured probability model; each position should be read together with the case-specific description and mitigation.

|        |               | IMPACT     |               |               |             |                     |
|--------|---------------|------------|---------------|---------------|-------------|---------------------|
|        |               | 1<br>Rare  | 2<br>Unlikely | 3<br>Possible | 4<br>Likely | 5<br>Almost certain |
| IMPACT | 5<br>High     |            |               | R2<br>R5      | R3          |                     |
|        | 4<br>Med-high |            |               | R1<br>R6      | R4          |                     |
|        | 3<br>Medium   |            |               | R7            |             |                     |
|        | 2<br>Med-low  |            |               |               |             |                     |
|        | 1<br>Low      |            |               |               |             |                     |
|        |               | LIKELIHOOD |               |               |             |                     |

Risk zones are indicative prioritization bands, not measured probabilities.

### PRIORITY RISKS

#### R1 Misaligned incentives / vendor-capture risk

Impact 4 · Likelihood 3

**Mitigation:** Use stage-gating and milestones (legal opinions + demand validation) before committing; negotiate fee structures with meaningful success-based components; ensure portability/exit clauses if the platform/venue changes strategy.

#### R2 Cross-border classification and distribution ambiguity

Impact 5 · Likelihood 3

**Mitigation:** Obtain independent Luxembourg, Germany and Netherlands analysis of instrument characterization, offering posture and regulated-role mapping.

#### R3 Withholding and tax-processing friction

Impact 5 · Likelihood 4

**Mitigation:** Document the end-to-end payment waterfall, withholding treatment and investor reporting workflow before launch.

#### R4 Secondary liquidity underdelivery

Impact 4 · Likelihood 4

**Mitigation:** Validate the venue pathway, trading rules and realistic investor expectations for quarterly liquidity windows.

#### R5 Renovation execution reduces distributable cash flow

Impact 5 · Likelihood 3

**Mitigation:** Use staged capex governance, progress reporting and cash-reserve discipline tied to the renovation program.

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**R6 Rights-to-record mismatch**

Impact 4 · Likelihood 3

**Mitigation:** Map token records, noteholder records, SPV obligations and German GmbH cash-flow entitlements in one documented control framework.

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**R7 Provider dependency across custody, venue and registry**

Impact 3 · Likelihood 3

**Mitigation:** Negotiate binding service scope, incident handling, portability and exit terms with each regulated provider.

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**HOW TO READ THIS PAGE**

Higher placement indicates greater impact; movement to the right indicates greater likelihood. Risks that share a cell can still have different causes and require different responses.

## 07 | Recommendations & next steps

**Case-specific focus:** This recommendation set assumes a Luxembourg-led issuance structure aimed at professional and accredited/qualified investors. Primary execution friction: The final classification, rights mapping, offering structure, investor eligibility, marketing perimeter, ownership record, transfer controls and servicing responsibilities require qualified jurisdiction-specific validation. The recommendations below therefore focus on reducing avoidable friction before execution.

### 7.1 Design priorities and decision gates

**Design stage:** Structured Concept. Recommendations below focus on the highest-impact unresolved design and evidence gates.

The Conditional Go reflects a genuinely balanced case rather than a weak positive signal: the positive factors (NO 5, CS 0, RR 3) only narrowly outweigh Tokenization Costs and New Risks (TC 7, NR 4). For the initiating Asset Owner, value capture is still constrained by high upfront and ongoing structuring / operating costs, non-trivial execution and market-adoption risk, and a distribution design that relies too heavily on assumptions rather than locked-in commitments. In this case, a cross-border setup (2 sale jurisdictions (Germany, Netherlands)) and distribution requirements are likely key drivers of both TC and NR. The recommendations below therefore focus on the few design changes and evidence gaps most likely to determine whether tokenization becomes economically stronger or loses its marginal advantage.

#### Primary clarification and refinement priorities

The priorities below are selected from the largest score drag and the unresolved evidence or operating-model gates in this case.

#### 7.1.1 Treat Distribution and Liquidity as a Design Requirement, Not an Assumption

*because the liquidity pathway is currently uncommitted and increases execution risk.*

**In this case specifically:** The distribution and liquidity path needs to be credible in practice, not just conceptually attractive.

**Compared with a conventional alternative:** Compared with a conventional distribution model, the tokenized structure must improve actual investor access, transferability, or control — not just add technical complexity.

- Secure anchor investors and/or indicative investor commitments before finalising the issuance structure and vendor stack.
- Require the selected distribution or transfer providers to document the responsibilities, eligibility checks, approval steps, settlement process and reporting duties that are explicitly in scope.
- Do not assume a transfer cadence, matching mechanism, indicative quoting, liquidity support or exit route that the user has not specified. Where the input is silent, mark the mechanism unresolved.

Expected effect: Reduced New Risks (NR) related to liquidity shortfall and improved credibility of the investment case for both Asset Owner and investors.

### 7.1.2 Rebalance Cost and Risk Allocation Away from the Asset Owner

*because Tokenization Costs are currently a dominant downside driver.*

**In this case specifically:** The proposed issuance is anchored in Luxembourg with distribution into Germany, Netherlands; the Asset Owner therefore needs explicit control of cross-jurisdiction cost, responsibility and execution burden.

**Compared with a conventional alternative:** Compared with a conventional implementation path, tokenization only earns its place here if the added stack does not push too much fixed cost and execution burden back onto the Asset Owner.

- Reduce fixed upfront fees and shift a meaningful portion of platform, custody and venue remuneration to success-linked components (e.g., issuance completion, minimum capital raised, or documented post-issuance delivery milestones explicitly stated in the case).
- Narrow the initial scope to a single issuance phase, deferring optional features until value is demonstrated.
- Explicitly cap ongoing post-issuance service costs (custody, venue, reporting, corporate actions) to avoid open-ended operational drag.

Expected effect: Lower Tokenization Costs (TC) for the Asset Owner and improved net Added Value without changing the core structure.

### 7.1.3 What a successful redesign would need to change

The measures above target the factors that currently keep this case at Conditional Go. They do not by themselves imply a future Viable verdict. A stronger result would require evidence that Tokenization Costs and New Risks have actually fallen, while the identified benefits remain credible against the conventional alternative. That should be tested in a new assessment once the relevant design choices and evidence have changed.

**In this case specifically:** The decisive question is whether the structure can move from a plausible concept to a tightly controlled operating model across Germany, Netherlands.

## 7.2 Design what-if scenarios

These illustrative scenarios explore how near-term design choices – for example narrowing the set of sale jurisdictions, adjusting the investor mix, or changing custody and venue setup – could move the Added Value score up or down for this specific case. They are not predictions about the broader future of the asset class, but levers you can pull in the current structuring and implementation of this transaction.

- If the planned quarterly liquidity windows on the described regulated venue become operationally supported after the 12-month lock-up, the liquidity-related part of the upside case would be better grounded; if venue access remains only an intention, that part of the opportunity stays constrained.
- If the rights mapping between token records, noteholder entitlements, Luxembourg SPV obligations and cash flows from the German GmbHs is documented in a clear end-to-end framework, the transparency and governance case may strengthen; if that linkage remains partly manual or ambiguous, efficiency and control benefits stay limited.
- If cross-border withholding treatment for Germany and the Netherlands can be administered cleanly through the Luxembourg issuance structure, some operating friction may ease; if tax administration requires bespoke workarounds, the conventional financing alternative may remain simpler.

### 7.3 Suggested next steps

- No verified case-specific regulatory claim is activated; approved baseline context supports structured scoping, while case-specific legal application remains unresolved.
- Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
- Document and validate the enforceable link between the token, underlying rights, ownership records and cash-flow waterfall.
- Which offering/distribution posture is intended in each sale jurisdiction, and is the operating model aligned with that posture?
- Which regulated roles (onboarding, custody, venue, agent/registrar) are expected or preferred for the chosen design?

# Appendices

- Appendix A — Method & interpretation
- Appendix B — TVAC Provider Directory (illustrative)
- Appendix C — Glossary & abbreviations
- Appendix D — User-supplied case inputs
- Appendix E — Disclaimer

# Appendix A — Method & interpretation

## A.1 How to read this report

**HOW TO READ THIS REPORT** This report is a structured decision-support assessment of the specific tokenization case described in the inputs. It is designed for senior stakeholders who need an indicative Tokenization Value Verdict, the reasons behind it, and practical design levers. How to use the report (recommended sequence)

1. Start with the Tokenization Value Verdict (Viable / Conditional Go / Non-viable) and the top drivers.
  2. Read “Decision Integrity & Limits” to understand scope, boundaries, and what would change the verdict.
  3. Use the analysis sections to trace the conclusion across opportunity, cost, risk, and regulatory context (indicative).
  4. Use “Sensitivity & Decision Levers” and the recommendations as a design tool: adjust the few variables that move outcomes most.
- Recommendations in this report are analytical suggestions derived from the TVAC methodology and do not constitute legal, regulatory, financial, tax, investment, or implementation advice. Reading discipline
  - Treat uncertain inputs as hypotheses that must be verified.
  - Prefer staged commitments: validate the highest-impact uncertainties before committing to full implementation.

## A.2 Decision integrity & interpretation

**DECISION INTEGRITY & LIMITS** This report provides informational decision support only. It does not constitute legal, regulatory, tax, financial, or investment advice, and it does not provide a compliance determination, valuation, or provider endorsement. Case snapshot (as stated)

- Issuance jurisdiction: Luxembourg
- Sale jurisdictions / target markets: Germany, Netherlands
- Asset / instrument type (indicative): wrapper
- Liquidity intent (as stated): quarterly
- Payment / cash-leg indication: T+1/T+2 securities settlement
- Cash-leg dependency / readiness: High dependency / Defined conventional design readiness What the Tokenization Value Verdict means
- Viable: Tokenization added value is plausible under the stated assumptions, subject to normal verification and execution.
- Conditional Go: Tokenization added value is design-dependent. Proceeding without meeting the listed conditions materially increases execution risk.
- Non-viable: Under current assumptions, tokenization is unlikely to outperform a conventional structure on a risk-adjusted basis. What can change the verdict (high impact)
- Distribution scope and investor segmentation (jurisdiction count, retail vs professional posture)
- Rights mapping and structural clarity (asset/SPV structure, cash-flow logic, investor protections)
- Custody / controls / transfer restrictions (institutional-grade requirements vs complexity)
- Liquidity assumptions (timing, venue feasibility, realistic market depth)
- Payment / cash-leg readiness where the case depends on DvP, digital cash, 24/7 settlement, collateral mobility or automated lifecycle payments
- Tokenization cost profile (legal/compliance/ops overhead and non-scalable components)
- Regulatory clarity and constraints in the stated jurisdictions (indicative; verify with qualified advisers) What TVAC did not assess
- No definitive legal, regulatory, tax, or investment conclusions
- No asset valuation, yield projections, or market-price forecasts
- No assurance of secondary-market liquidity or investor demand
- No operational readiness audit beyond the indicative checklist

### A.3 Minimum evidence checklist

MINIMUM EVIDENCE & READINESS CHECKLIST (indicative) Before proceeding toward implementation, decision-makers should be able to substantiate a minimum level of evidence across the areas below. This checklist is not exhaustive and does not imply regulatory sufficiency. It reflects common governance expectations in institutional-grade projects. Highest-priority gaps in this case (derived from inputs/completeness)

1. No verified case-specific regulatory claim is activated; approved baseline context supports structured scoping, while case-specific legal application remains unresolved.
  2. Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
  3. Document and validate the enforceable link between the token, underlying rights, ownership records and cash-flow waterfall. Structural & economic foundations
- Clear description of the underlying asset and ownership structure
  - Defined economic rights and cash-flow logic
  - Draft term sheet or structural outline
  - Clear rationale for tokenization vs alternatives Regulatory & distribution posture
  - Issuance jurisdiction clearly defined
  - Explicit list of sale jurisdictions
  - Documented investor type assumptions
  - Initial regulatory scoping (high-level) Token & control design
  - High-level token design and rights mapping
  - Transfer restriction and whitelist logic (conceptual)
  - Corporate actions and investor reporting approach
  - Governance for smart-contract or protocol changes (if relevant) Infrastructure & counterparties
  - Custody model (conceptual)
  - Indicative partner shortlist (non-binding)
  - Issuance, registry, and lifecycle approach
  - Payment / cash-leg and settlement approach, proportionate to the case's actual value proposition
  - Early assessment of secondary trading (if any) Cost & operational realism
  - High-level CAPEX and OPEX view
  - Identification of major cost drivers
  - Clear internal ownership of ongoing operations
  - Understanding of scalable vs non-scalable costs Lack of clarity across several of these areas materially increases execution risk, even where the conceptual case appears attractive.

### A.4 Sensitivity & decision levers

SENSITIVITY & DECISION LEVERS (indicative) Deterministic verdict (source of truth): Conditional Go. Small, targeted design changes can materially shift the outcome. Top drivers in this case (derived from scoring)

- Upside driver: New opportunities (value depends on distribution and product/instrument design)
- Risk driver: New risks (most sensitive to regulatory interpretation, custody/ops complexity, and cross-border distribution)
- Cost driver: Tokenization costs (most sensitive to legal/compliance scope, integrations, and ongoing ops overhead) High-impact decision levers (practical)
- Distribution scope: reduce jurisdictions and/or tighten investor segments to lower compliance and operational overhead.
- Liquidity posture: treat early secondary trading as optional; defer until structure and reporting are stable.
- Custody & controls: choose a control model that meets institutional requirements without over-engineering.
- Payment / cash-leg: clarify the settlement model only to the level required by the claimed value proposition; do not over-engineer it for low-dependency cases.
- Rights & governance: tighten rights mapping (cash flows, reporting, governance, transfer rules) to reduce friction and disputes. Interpretation rule

If you need the verdict to improve, change the few levers above rather than adding features. In many cases, viability increases by reducing ambition and complexity.

### A.5 How we compute Added Value

Added Value = (New Opportunities (NO) + Cost Savings (CS) + Risk Reduction (RR)) - (Tokenization Costs (TC) + New Risks (NR))

Plus (NO + CS + RR) = 8

Minus (TC + NR) = 11

Added Value (Plus - Minus) = -3

### A.6 Evidence, provenance & regulatory source register

This register shows evidence status, activated verified regulatory claims, official sources and generic interface labels. It supports auditability but does not constitute legal advice or a conclusion that any cited rule applies to the final facts.

**Supporting evidence:** Preliminary · Any supporting evidence mentioned in the case description is treated as user-reported and has not been independently reviewed or verified by TVAC.

**Regulatory coverage:** Luxembourg · Unverified · Basic coverage · last reviewed 2026-01-29

**Sale-jurisdiction coverage:**

- Germany · Unverified · Basic coverage · last reviewed 2026-01-29
- Netherlands · Unverified · Basic coverage · last reviewed 2026-01-29

**Legal-advice boundary:** TVAC provides regulatory scoping and decision support only. It does not determine how the law applies to the final facts, provide a legal opinion, confirm compliance, or replace qualified local counsel.

#### Score provenance

Factor scores are rubric-based methodology judgments grounded in supplied inputs and explicit evidence gaps. They are not measurements, legal conclusions or due-diligence findings.

| Factor             | Score | Provenance                  | Input references                                                                                                                                                                     |
|--------------------|-------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| New Opportunities  | 5/10  | TVAC methodology assessment | case_description, instrument_type, investor_types, sale_jurisdictions, secondary_market_liquidity, transfer_restrictions                                                             |
| Cost Savings       | 0/10  | TVAC methodology assessment | case_description, instrument_type, custody_model, settlement_model, transfer_restrictions                                                                                            |
| Risk Reduction     | 3/10  | TVAC methodology assessment | case_description, custody_model, transfer_restrictions, settlement_model, investor_types                                                                                             |
| Tokenization Costs | 7/10  | TVAC methodology assessment | case_description, issuance_jurisdiction, sale_jurisdictions, instrument_type, custody_model, secondary_market_venue, settlement_model, offering_disclosure                           |
| New Risks          | 4/10  | TVAC methodology assessment | case_description, issuance_jurisdiction, sale_jurisdictions, custody_model, secondary_market_venue, transfer_restrictions, settlement_model, offering_disclosure, tax_considerations |

#### Activated verified regulatory claims

The table records claim scope and source IDs; the full case-facing explanation appears in Chapter 3.5.

No verified jurisdiction-specific claim was activated for the stated case facts.

**Jurisdiction-specific validation questions**

- **Luxembourg:** Which offering/distribution posture is intended in each sale jurisdiction, and is the operating model aligned with that posture?
- **Luxembourg:** Which regulated roles (onboarding, custody, venue, agent/registrar) are expected or preferred for the chosen design?
- **Luxembourg:** If secondary trading is planned, what is the feasible venue pathway for the target markets?
- **Germany:** Which offering/distribution posture is intended in each sale jurisdiction, and is the operating model aligned with that posture?
- **Germany:** Which regulated roles (onboarding, custody, venue, agent/registrar) are expected or preferred for the chosen design?
- **Germany:** If secondary trading is planned, what is the feasible venue pathway for the target markets?
- **Netherlands:** Which offering/distribution posture is intended in each sale jurisdiction, and is the operating model aligned with that posture?
- **Netherlands:** Which regulated roles (onboarding, custody, venue, agent/registrar) are expected or preferred for the chosen design?
- **Netherlands:** If secondary trading is planned, what is the feasible venue pathway for the target markets?

**Verified official sources**

- Directive 2014/65/EU on markets in financial instruments · European Union · checked 2026-07-15
- Regulation (EU) 2017/1129 — Prospectus Regulation · European Union · checked 2026-07-15
- Regulation (EU) 2023/1114 — Markets in Crypto-assets · European Union · checked 2026-07-15
- Regulation (EU) 2022/858 — DLT Pilot Regime · European Union · checked 2026-07-15
- Regulation (EU) No 909/2014 — Central Securities Depositories Regulation · European Union · checked 2026-07-15

**Generic interface labels**

Generic TVAC interface label only. It is not treated as a jurisdiction-specific legal classification or legal requirement.

| Field                      | Value                                                       |
|----------------------------|-------------------------------------------------------------|
| instrument_type            | wrapper                                                     |
| custody_model              | regulated custodian                                         |
| secondary_market_liquidity | quarterly transfer windows                                  |
| secondary_market_venue     | ATS or MTF                                                  |
| settlement_model           | T+1/T+2 securities settlement                               |
| offering_disclosure        | exemption-based disclosure route                            |
| investor_types             | professional, qualified/accredited (jurisdiction-dependent) |

**A.7 Operational roadmap (structured)**

This detailed implementation roadmap is retained as a reference, but moved out of the main analysis because much of it describes a generic project sequence. Use it after the case-specific decision points and recommendations in the main report have been resolved.

## A.7.1 Operational roadmap (structured)

The items below are indicative planning scaffolding. They are not a substitute for jurisdiction-specific legal, tax, financial, and operational due diligence, and they must be tailored to the selected asset type, wrapper structure, investor segment, custody model, venue, and settlement design.

### A.7.2 Phase 1 — Preparation & feasibility

**Case-specific focus for this phase:** Primary issuance jurisdiction: Luxembourg. Initial distribution scope: Germany, Netherlands. Initial investor focus: professional investors, other eligible non-retail investors (local classification unconfirmed).

#### Objectives

- Clarify the underlying asset/instrument, economic rights, and proposed token wrapper.
- Define target investor segments (professional / eligible / retail, if applicable) and distribution scope.
- Establish internal alignment on objectives, success criteria, and risk appetite.

#### Key decisions

- Token rights model (equity-like, debt-like, fund-like, revenue share, participation note, etc.).
- Transfer restriction regime (whitelisting, holding periods, jurisdictional gating).
- Custody and settlement direction (account-based vs. wallet-based; T+0 vs. T+1+).

#### Deliverables (checklist)

- One-page case definition: asset, wrapper, jurisdiction(s), investor segment, and target size.
- Preliminary term sheet outline (rights, restrictions, fees, lifecycle events, disclosures).
- High-level implementation estimate (time bands, cost bands, key dependencies).
- Initial risk register (top 10–15 risks with owners and first mitigations).

#### Primary stakeholders

- Issuer/asset owner (business sponsor, finance, legal/compliance, operations/IT).
- External legal counsel (securities, funds, structuring), tax adviser, and (if relevant) auditor.
- Shortlisted tokenization platform/technology provider, regulated custodian, and potential venue(s).

#### Dependencies / gates

- Clear legal characterization of the instrument and its regulatory perimeter in the issuance jurisdiction.
- Agreement on must-have constraints (investor eligibility, reporting, custody, settlement, data handling).
- Internal approval to proceed to structured design (budget and governance gate).

#### Risk hotspots

- Unclear instrument classification or incompatible distribution intent (e.g., retail scope without a verified pathway).
- Mismatch between user-stated transfer expectations and the legally and operationally supportable process.
- Hidden operational burdens (cap-table/admin, reporting, corporate actions, tax documentation).

### A.7.3 Phase 2 — Legal, tax & regulatory structuring

**Case-specific focus for this phase:** Core legal and tax analysis should start from Luxembourg. Distribution permissions must be validated for Germany, Netherlands. Generic TVAC disclosure label selected in the input: Exempt. The applicable local legal category remains to be confirmed. Transfer-control design to validate: Whitelist + EU gating + 12-month lock-up.

#### Objectives

- Obtain independent legal validation of a legally supportable issuance and distribution structure for the intended jurisdiction(s).
- Define disclosure, governance, and ongoing compliance obligations for the lifecycle of the instrument.
- Obtain qualified tax analysis of the proposed wrapper and cash-flow mechanics for issuer and investors.

#### Key decisions

- Issuance vehicle choice (direct issuer vs. SPV; fund wrapper vs. corporate wrapper).

- Offering and documentation pathway verified for the stated jurisdiction(s); do not infer a legal category from interface labels.
- Investor onboarding model (KYC/AML responsibilities, reliance model, delegated vs. in-house).
- Choice of legal documentation stack verified by qualified local advisers.

### **Deliverables (checklist)**

- Legal characterization memo and jurisdiction matrix (requirements by country/investor segment).
- Draft offering documentation and investor disclosures.
- Transfer restriction policy and rulebook (whitelist logic, jurisdictional gating, and any explicitly selected holding-period rules).
- Tax memo(s) covering withholding, reporting, and cross-border distribution considerations.
- Compliance operating model (roles, escalation paths, record-keeping, audit trail).

### **Primary stakeholders**

- Issuer legal/compliance, external counsel, tax advisers.
- Custodian/compliance function (if regulated custody is used), transfer agent (if applicable).
- Any transfer provider or environment explicitly retained in scope and independently validated.

### **Dependencies / gates**

- Independent legal confirmation of the offering pathway and distribution permissions across the stated target jurisdictions.
- Operational feasibility of investor onboarding and transfer controls (including data privacy constraints).
- Formal sign-off on documentation pack and compliance model.

### **Risk hotspots**

- Jurisdiction conflicts (marketing rules, suitability requirements, local registration triggers).
- Under-scoped ongoing obligations (periodic reporting, investor communications, corporate actions).
- Tax frictions that erode the added value thesis (withholding, reporting, complexity costs).

## **A.7.4 Phase 3 — Build, integration & vendor onboarding**

**Case-specific focus for this phase:** The current custody design indicates regulated custodian. Its precise legal and operational role remains to be confirmed. The current transfer environment indicates ATS or MTF; this does not establish a local legal venue classification. The current settlement design indicates T+1/T+2 securities settlement. Its operational and legal fit remains to be validated. Transfer-rule implementation must reflect: Whitelist + EU gating + 12-month lock-up.

### **Objectives**

- Finalize the technology stack and integrate custody, settlement, onboarding, and reporting workflows.
- Implement transfer rules and lifecycle event handling (issuance, redemptions, distributions, corporate actions).
- Establish operational readiness (controls, monitoring, incident response, reconciliation).

### **Key decisions**

- Token standard / ledger choice and compatibility with custody and venue requirements.
- Settlement model (atomic delivery-versus-payment vs. coordinated settlement through intermediaries).
- Data and reporting architecture (who stores what; audit trail; privacy boundaries).
- Outsourcing vs. in-house responsibility split (transfer agent, admin, reporting).

### **Deliverables (checklist)**

- Final technical architecture and integration plan (custody, venue, payments, identity/KYC).
- Rule engine / whitelist implementation and test suite (including jurisdictional gates).
- Operational runbooks (reconciliation, incident response, corporate actions, investor support).
- UAT results and sign-offs (issuer, custodian, venue, admin/TA as relevant).
- Security review (key management model, access control, change management, monitoring).

## Primary stakeholders

- Issuer operations/IT, tokenization platform/tech provider, regulated custodian where explicitly selected.
- Selected transfer-environment integration team, payment rails (if applicable), admin/TA providers.
- Compliance and risk functions for control design and approval.

## Dependencies / gates

- Signed vendor contracts, SLAs, and responsibility matrix (RACI) across the stack.
- Completed integration testing and reconciliation proof (end-to-end lifecycle flows).
- Readiness gate: controls, monitoring, and support operations in place.

## Risk hotspots

- Integration complexity and reconciliation gaps across custody/venue/admin systems.
- Rule enforcement drift (transfer restrictions not consistently applied across venues/wallets).
- Operational single points of failure (provider concentration, key management, support load).

## A.7.5 Phase 4 — Issuance, distribution & launch

**Case-specific focus for this phase:** Any legally required launch permissions and onboarding constraints must be independently confirmed for: Germany, Netherlands. User-selected generic investor segment for launch planning: professional investors, other eligible non-retail investors (local classification unconfirmed). Local legal category mapping remains to be confirmed. The launch transfer environment currently indicates ATS or MTF; this does not establish a local legal venue classification. The current liquidity intent is quarterly transfer windows. No market status, matching demand or liquidity support is inferred.

## Objectives

- Execute issuance mechanics and investor onboarding under the independently verified offering pathway.
- Operationalize disclosures, subscriptions, allocations, and post-issuance record-keeping.
- Operationalize only the user-stated and legally validated transfer process, if any; no venue listing, market making or liquidity support is assumed.

## Key decisions

- Distribution channel mix (direct, intermediated, platform marketplace, placement agents) as legally validated.
- Subscription mechanics and settlement timing (funding rails, DVP, cutoff times) as actually specified.
- Transfer model, if any: stated approvals, eligibility, timing and limitations; no cadence or support mechanism is assumed.

## Deliverables (checklist)

- Final investor communication pack and distribution checklist.
- Subscription and allocation runbook; reconciliation and exception handling.
- Go-live monitoring plan and incident escalation paths.
- Documented transfer-process setup, if applicable, and evidence-based monitoring metrics.

## Primary stakeholders

- Issuer distribution team, platform operator, onboarding/KYC provider.
- Custodian, settlement and transfer providers explicitly selected for the stated process.
- Legal/compliance for marketing controls and ongoing disclosure obligations.

## Dependencies / gates

- Approved marketing/distribution materials and compliance sign-off.
- End-to-end dry run of subscription, allocation, and post-issuance reporting.
- Operational readiness gate: support, monitoring, and governance in place.

## Risk hotspots

- Distribution frictions (slow onboarding, suitability issues, cross-border marketing constraints).
- Unsupported transfer or liquidity expectations relative to the actual process and evidence.

- Operational load spikes (investor support, reconciliation exceptions, reporting deadlines).

### A.7.6 Phase 5 — Post-issuance operations & monitoring

**Case-specific focus for this phase:** Ongoing governance and evidence trails must remain defensible under Luxembourg. Post-issuance compliance must continue to support holders across: Germany, Netherlands. Ongoing operations must reflect the regulated custodian design once its precise role has been independently confirmed. Post-launch monitoring must reflect the actual validated transfer process currently described as ATS or MTF.

#### Objectives

- Run ongoing compliance, reporting, and investor communications through the instrument's lifecycle.
- Operate lifecycle events (distributions, redemptions, corporate actions) with strong controls and auditability.
- Monitor provider performance, costs, and risk posture; adjust as regulations and market conditions evolve.

#### Key decisions

- Governance cadence (board/committee oversight, change approvals, vendor reviews).
- Reporting scope and frequency (investor reporting, regulatory reporting, audit readiness).
- Contingency planning (provider exits, custody changes, venue strategy shifts).

#### Deliverables (checklist)

- Ongoing reporting calendar and control framework (incl. audits and reconciliations).
- Lifecycle event runbooks and evidence retention procedures.
- Vendor performance KPIs and incident log; periodic risk reviews.
- Contingency and change-management playbook (custody/venue migrations, rule updates).

#### Primary stakeholders

- Issuer operations, compliance, finance; custodian; admin/TA (where applicable).
- Transfer and settlement providers explicitly retained in scope, if any.
- External auditors/advisers for periodic reviews and regulatory updates.

#### Dependencies / gates

- Stable operating model and evidence trail sufficient for audit/regulatory scrutiny.
- Clear change-management process for token rules, disclosures, and provider configuration.
- Budgeting and resourcing for ongoing operations (often underestimated in early planning).

#### Risk hotspots

- Compliance drift as rules change or distribution expands across jurisdictions.
- Operational fragility under low-liquidity or stress scenarios (settlement failures, disputes).
- Provider concentration risk and cost creep relative to value delivered.

# Appendix B — TVAC Provider Directory (illustrative)

This appendix is an illustrative reference layer intended to help the reader think about which types of external partners may be relevant in a tokenization project.

It is not a recommendation list, procurement shortlist, or ranking. Inclusion or omission does not imply endorsement, criticism, quality judgment, regulatory approval, or case suitability. Any provider mentioned here must be assessed independently for legal fit, jurisdictional coverage, operating model fit, technical capability, conflicts, cost, and execution reliability. This appendix is non-exhaustive and subject to change.

## B1. How to use this appendix

Use this appendix to identify the provider categories a case may require, not as a signal that a specific provider should be engaged.

In many cases, the main value of the directory is not the names themselves, but the discipline of asking:

- Which functions must be covered?
- Which functions can be combined?
- Which functions must remain regulated or jurisdiction-specific?
- Which dependencies create concentration risk or vendor-capture risk?
- Which parts of the stack are critical before launch, and which can wait?

## B2. Typical provider categories

Depending on the case, a tokenization project may require some or all of the following partner categories:

- legal & regulatory advisers
- tax advisers
- issuance / tokenization platform
- smart-contract / token engineering support
- custody / wallet infrastructure
- transfer agent / registry administration
- fund administration or SPV administration
- trading venue / ATS / MTF / exchange partner
- transfer or liquidity-support provider, only where explicitly required and legally permitted
- KYC / AML / onboarding provider
- payment / settlement / banking partner
- audit / assurance / cybersecurity reviewers
- valuation, data, or oracle-related providers
- distribution / placement / investor onboarding partners
- systems integration / workflow automation support

## B3. Illustrative provider examples

The examples below are illustrative only and are grouped by function. They are not recommendations, rankings, or evidence of suitability for this case.

### B3.1 Legal & regulatory advisers

These advisers help determine whether the proposed structure is legally enforceable, properly classified, and consistent with the intended issuance, distribution, transfer, custody, and disclosure model.

#### Typical use cases:

- wrapper design
- securities-law classification

- cross-border marketing analysis
- transfer restriction design
- offering documentation
- legal opinions and regulatory scoping

**Illustrative examples:**

- CMS
- Cooley
- FIN LAW
- MME
- NÄGELE

### **B3.2 Issuing platforms**

These providers typically support issuance workflows, lifecycle management, permissions, investor access rules, and parts of the reporting or compliance stack.

**Typical use cases:**

- token issuance
- lifecycle events
- permissions / whitelisting
- cap-table or investor-position management
- compliance rule integration
- reporting workflows

**Illustrative examples:**

- Aktionariat
- Polymesh (Polymath)
- Realiz Group
- Securitize
- Token City
- Tokeny

### **B3.3 Custody, trading & settlement**

These providers support safekeeping, wallet infrastructure, execution, venue access, settlement, and post-trade operations.

**Typical use cases:**

- institutional custody
- secure wallet infrastructure
- settlement support
- exchange / venue access
- post-trade servicing
- collateral mobility or transfer control support

**Illustrative examples:**

- ADDX
- Anchorage Digital
- Archax
- BitGo
- Coinbase Institutional

- Copper
- Ondo Finance
- SIX Digital Exchange (SDX)
- Sygnum Bank
- Taurus

#### **B4. Practical selection principles**

When evaluating providers, the reader should typically assess:

- jurisdictional fit
- regulatory status where relevant
- experience with the relevant asset class
- operating-model compatibility
- integration burden
- exit options / portability
- fee model
- service resilience
- auditability and evidence quality
- concentration risk

Where possible, provider choices should reinforce the case logic rather than undermine it. A weak provider stack can easily erode the value thesis of an otherwise promising structure.

#### **B5. Important caution**

The right provider stack is highly case-dependent.

A provider that is suitable for a closed institutional collateral workflow may be a poor fit for a cross-border fund wrapper. A provider that is strong in digital-asset custody may not be the right choice for transfer administration or legal structuring. A venue that looks attractive commercially may create regulatory or operating-model problems if the case does not actually need that level of transferability.

## Appendix C — Glossary & abbreviations

A practical reference for the most common terms and abbreviations used in this report. Spelling note: tokenization uses “z”.

| Term                         | Meaning                                                                                                                                                                                                                                                 |
|------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Accredited investor</b>   | An investor category used primarily in the United States for persons or entities meeting specific income, net worth, or institutional eligibility thresholds for participation in certain exempt offerings.                                             |
| <b>Added Value (AV)</b>      | TVAC’s net assessment of whether tokenization appears to improve a case overall once both upside and friction are weighed together. Formula: $AV = (NO + CS + RR) - (TC + NR)$ .                                                                        |
| <b>AML</b>                   | Anti-Money Laundering controls intended to detect, prevent, and report suspicious financial activity.                                                                                                                                                   |
| <b>Assessment input</b>      | TVAC’s qualitative indication of whether the required input sections were completed sufficiently for the assessment to run. It measures input-form completion only and does not imply factual certainty, independent validation or supporting evidence. |
| <b>Asset owner / Issuer</b>  | The originating party, sponsor, manager, or issuing structure responsible for launching or sponsoring the tokenized case being assessed.                                                                                                                |
| <b>ATS</b>                   | Alternative Trading System. A regulated trading venue category used in some jurisdictions, particularly the United States.                                                                                                                              |
| <b>Bankruptcy-remote SPV</b> | A special-purpose vehicle structured to reduce the risk that the insolvency of a sponsor or related party directly affects the ring-fenced assets or obligations of the issuance vehicle.                                                               |
| <b>Cap table</b>             | Capitalization table. A record of ownership interests, investor positions, or security holders in a structure or company.                                                                                                                               |
| <b>Cash leg</b>              | The cash side of a transaction or settlement flow, as distinct from the asset or token side.                                                                                                                                                            |
| <b>Conditional Go</b>        | A Tokenization Value Verdict indicating that tokenization may add net value, but remains materially dependent on design discipline, implementation choices, and resolution of key gating conditions.                                                    |
| <b>Counterparty risk</b>     | The risk that one party to a transaction fails to perform its contractual obligations.                                                                                                                                                                  |
| <b>CSD</b>                   | Central Securities Depository.                                                                                                                                                                                                                          |
| <b>Custody</b>               | The safeguarding, control, and recordkeeping of assets or positions on behalf of investors or market participants.                                                                                                                                      |
| <b>DeFi</b>                  | Decentralized Finance. A blockchain-based ecosystem of protocols and applications designed to enable financial activity without relying entirely on traditional centralized intermediaries.                                                             |
| <b>DEX</b>                   | Decentralized Exchange.                                                                                                                                                                                                                                 |
| <b>Distribution scope</b>    | The intended investor reach of an offering or tokenized structure, including geography, investor type, and access conditions.                                                                                                                           |
| <b>DvP</b>                   | Delivery versus Payment. A settlement model in which transfer of the asset and transfer of payment are linked so that one does not occur without the other.                                                                                             |
| <b>Economic rights</b>       | The financial entitlements attached to a token or instrument, such as income participation, coupon, principal repayment, or profit-sharing.                                                                                                             |

| Term                          | Meaning                                                                                                                                                                                                |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Eligibility controls</b>   | Rules and mechanisms that determine who may acquire, hold, or transfer a token or instrument.                                                                                                          |
| <b>ESG</b>                    | Environmental, Social, and Governance factors.                                                                                                                                                         |
| <b>Execution risk</b>         | The risk that a concept that appears viable in theory fails in practice because implementation, coordination, economics, or governance proves weaker than assumed.                                     |
| <b>Factor breakdown</b>       | The report section explaining how each of TVAC's five factors contributes to the overall assessment.                                                                                                   |
| <b>Friction factors</b>       | In TVAC, the two downside factors: Tokenization Costs (TC) and New Risks (NR).                                                                                                                         |
| <b>Governance</b>             | The decision-making, control, accountability, and escalation framework surrounding a structure, platform, issuer, or operating model.                                                                  |
| <b>Institutional investor</b> | A professional market participant such as a fund, bank, insurer, treasury function, pension investor, or other organization investing at scale.                                                        |
| <b>Investor segmentation</b>  | The way the target investor base is defined and limited by investor type, sophistication, jurisdiction, or eligibility criteria.                                                                       |
| <b>KYC</b>                    | Know Your Customer procedures used to verify customer identity and onboarding eligibility.                                                                                                             |
| <b>Legal wrapper</b>          | The legal structure through which tokenized rights or exposures are issued, held, or governed.                                                                                                         |
| <b>Liquidity window</b>       | A predefined period or mechanism allowing limited secondary trading, transfer, redemption, or exit opportunities.                                                                                      |
| <b>MiCA</b>                   | Markets in Crypto-Assets Regulation in the European Union.                                                                                                                                             |
| <b>MiFID II</b>               | Markets in Financial Instruments Directive II in the European Union.                                                                                                                                   |
| <b>MTF</b>                    | Multilateral Trading Facility under EU regulatory frameworks.                                                                                                                                          |
| <b>Net Added Value</b>        | See Added Value (AV).                                                                                                                                                                                  |
| <b>New Opportunities (NO)</b> | Case-specific upside that tokenization creates or materially strengthens, such as new investor reach, new operational utility, collateral use, programmability, or improved strategic flexibility.     |
| <b>New Risks (NR)</b>         | Additional risks introduced by tokenization, including legal, regulatory, operational, technological, governance, distribution, or market-structure risks.                                             |
| <b>NO / CS / RR / TC / NR</b> | Shorthand for TVAC's five factors: New Opportunities, Cost Savings, Risk Reduction, Tokenization Costs, and New Risks.                                                                                 |
| <b>Non-viable</b>             | A Tokenization Value Verdict indicating that the current structure does not support a positive tokenization value case under the TVAC methodology and should not proceed without substantial redesign. |
| <b>Off-chain settlement</b>   | A settlement process that occurs through conventional systems, institutions, or cash rails rather than being fully completed on a blockchain.                                                          |
| <b>On-chain settlement</b>    | A settlement process in which the relevant transfer logic is executed on a blockchain or distributed ledger environment.                                                                               |

| Term                           | Meaning                                                                                                                                                                                             |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Operational costs</b>       | The ongoing cost burden of running a structure, including servicing, reporting, compliance, governance, custody, registry, and technology overhead.                                                 |
| <b>Operational utility</b>     | Practical workflow benefit created by tokenization, such as faster settlement, better collateral mobility, reduced reconciliation, or more efficient transfer control.                              |
| <b>Parallel processes</b>      | A situation in which tokenized and legacy workflows both remain active, limiting the real efficiency gains from tokenization.                                                                       |
| <b>Permissioned</b>            | A system design in which access, participation, or transfers are restricted to approved participants under defined rules.                                                                           |
| <b>Professional investor</b>   | An investor category used in many jurisdictions for parties assumed to have greater sophistication, capacity, or experience than retail investors.                                                  |
| <b>Prospectus</b>              | A formal disclosure document that may be required for certain public offerings or investor solicitations under applicable law.                                                                      |
| <b>Provider Directory</b>      | A reference section listing indicative categories of service providers relevant to tokenization implementation. It is illustrative only and not a recommendation list.                              |
| <b>Registry</b>                | The official or operational record of holdings, ownership, or investor positions.                                                                                                                   |
| <b>Regulatory coverage</b>     | The jurisdiction-specific scope supported by activated, versioned regulatory claims in the TVAC profile. It does not determine how the law applies to the final facts.                              |
| <b>Regulatory perimeter</b>    | The boundary of laws, rules, approvals, and supervisory expectations that may apply to a structure or activity.                                                                                     |
| <b>Retail investor</b>         | A non-professional investor who generally receives higher levels of regulatory protection than professional or institutional investors.                                                             |
| <b>Rights mapping</b>          | The process of making clear what legal, economic, governance, and transfer rights a token actually represents and how those rights are enforceable.                                                 |
| <b>Risk heatmap</b>            | A report visualization that summarizes the relative severity and concentration of key risk areas identified in the case.                                                                            |
| <b>Risk Reduction (RR)</b>     | The extent to which tokenization reduces existing risk in the conventional setup, for example through better controls, improved transparency, clearer auditability, or lower reconciliation burden. |
| <b>Self-custody</b>            | A model in which the end holder directly controls the relevant wallet, keys, or token position without relying on a traditional third-party custodian.                                              |
| <b>Settlement model</b>        | The way asset transfer, cash transfer, record updates, and finality are operationally achieved.                                                                                                     |
| <b>SPV</b>                     | Special Purpose Vehicle. A ring-fenced legal entity often used for issuance, structuring, asset isolation, or liability segregation.                                                                |
| <b>Stakeholder added value</b> | A TVAC perspective layer showing how value and friction may be distributed differently across key participants such as the issuer, investors, and infrastructure providers.                         |
| <b>Stop criteria</b>           | Standard decision-integrity triggers indicating that a case should stop, re-scope, or be materially redesigned unless the issue is resolved.                                                        |
| <b>Structured product</b>      | A financial instrument combining defined economic exposure with a formal legal wrapper and specified payout logic.                                                                                  |

| Term                             | Meaning                                                                                                                                                                                                                                                                                    |
|----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Supporting evidence</b>       | TVAC's qualitative indicator of how far critical legal, commercial, provider and operational assumptions are supported by evidence described by the user. User-reported evidence is not independently verified by TVAC, and supporting evidence is not required for an initial assessment. |
| <b>TA</b>                        | Transfer Agent.                                                                                                                                                                                                                                                                            |
| <b>Tokenization Costs (TC)</b>   | The additional costs introduced by tokenization, including structuring, legal work, compliance, integration, platform costs, governance overhead, servicing changes, and operating complexity.                                                                                             |
| <b>Transfer controls</b>         | Rules, permissions, and technical or legal mechanisms governing who may transfer, receive, or hold the token.                                                                                                                                                                              |
| <b>Transfer restrictions</b>     | Specific limitations placed on secondary transfers, often for regulatory, contractual, or investor-eligibility reasons.                                                                                                                                                                    |
| <b>TVAC</b>                      | Tokenization Value-Add Calculator. A structured decision-support methodology for assessing whether tokenization appears to create net added value in a specific case.                                                                                                                      |
| <b>Value pathways</b>            | The concrete ways in which tokenization might create value in the case, such as improved distribution, lower friction, stronger control, faster settlement, or better collateral use.                                                                                                      |
| <b>Vendor-capture risk</b>       | The risk that a structure becomes economically or operationally overly dependent on one platform, provider, or implementation path in a way that shifts value away from the initiating party.                                                                                              |
| <b>Venue fit</b>                 | The degree to which the chosen issuance, transfer, trading, or liquidity venue matches the asset, investor scope, regulatory posture, and operating model of the case.                                                                                                                     |
| <b>Verified regulatory claim</b> | A versioned statement derived from an identified source and approved for conditional regulatory scoping. It is not a legal opinion or case-specific compliance conclusion.                                                                                                                 |
| <b>Viable</b>                    | A Tokenization Value Verdict indicating that the TVAC methodology identifies a positive tokenization value case under the described structure, subject to validation and disciplined execution. It is not an investment, credit, yield, valuation, legal, tax, or suitability assessment.  |
| <b>Whitelist / Whitelisting</b>  | A mechanism for restricting participation or transferability to pre-approved investors, wallets, counterparties, or participants.                                                                                                                                                          |

## Appendix D — User-supplied case inputs

### D.1 Full verbatim case description

Full original free-text case input provided by the user.

We are a privately owned real estate holding company owning three stabilized residential assets in Berlin and Hamburg through German GmbHs. The properties generate steady rental income but require energy upgrades, façade improvements, and selected tenant-area refurbishments to remain competitive and compliant with evolving ESG standards.

We intend to raise EUR 15–20 million to finance renovations, partially refinance bank debt, and strengthen liquidity buffers. Instead of raising additional traditional mezzanine capital, we are evaluating tokenization through a Luxembourg SPV issuing profit-participating notes linked to net rental cash flow after operating costs and senior debt service.

The tokens would represent clear contractual economic rights, including profit participation and principal repayment, but no operational control over the properties. We would target professional and accredited investors in Germany and the Netherlands only, using a whitelist-based onboarding process with full KYC/AML.

We plan a 12-month lock-up followed by structured quarterly liquidity windows on a regulated venue. Custody would be provided by a regulated custodian. Settlement follows T+1/2 standards aligned with existing capital market workflows. Key considerations include cross-border tax treatment, renovation execution risk, valuation stability, and interest-rate sensitivity. The primary rationale for tokenization is improved investor transparency, fractional access for smaller professional tickets, and long-term administrative efficiency.

### D.2 Structured input record

This record reproduces the structured inputs supplied for this assessment. For dropdowns and checkboxes, it also shows the alternatives that were available but not selected.

| Field                                | User response                                                 | Other available options not selected                                                                                                                                                                                                                                    |
|--------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Issuance jurisdiction                | Luxembourg                                                    | Not applicable                                                                                                                                                                                                                                                          |
| Sale jurisdictions (comma-separated) | Germany, Netherlands                                          | Not applicable                                                                                                                                                                                                                                                          |
| Instrument type                      | Digital wrapper (CSD/TA/registrar)                            | Sole-record / native tokenized security                                                                                                                                                                                                                                 |
| Custody model                        | Regulated custodian                                           | Transfer agent / CSD; Self-custody (wallets)                                                                                                                                                                                                                            |
| Secondary-market liquidity           | Quarterly windows                                             | None; Ad-hoc OTC; Continuous                                                                                                                                                                                                                                            |
| Secondary-market venue               | ATS / MTF                                                     | DEX (permissioned); OTC; CSD / TA-registered                                                                                                                                                                                                                            |
| Payment / cash-leg model             | T+1/T+2 securities settlement                                 | Not decided yet; Not material at this stage; Traditional bank / fiat payments; Custodian / bank / TA / CSD settlement; Stablecoin / tokenized cash; Deposit token / tokenized deposit / institutional DvP rail; Advanced: T+0 / atomic DvP; Advanced: off-chain booking |
| Offering disclosure                  | Exempt / limited-offering route (jurisdiction-dependent)      | KID (PRIIPs); Prospectus                                                                                                                                                                                                                                                |
| Transfer restrictions                | Whitelist + EU gating + 12-month lock-up                      | Not applicable                                                                                                                                                                                                                                                          |
| Tax considerations (optional)        | Cross-border withholding considerations                       | Not applicable                                                                                                                                                                                                                                                          |
| Investor types                       | Professional; Qualified / accredited (jurisdiction-dependent) | Retail                                                                                                                                                                                                                                                                  |

An option shown as not selected was not necessarily actively considered or rejected by the user; it was simply not selected for this assessment.

# Appendix E — Disclaimer

## Disclaimer

This report is provided for informational and decision-support purposes only. It does not constitute legal, regulatory, tax, accounting, investment, valuation, or financial advice, and it should not be relied upon as a substitute for professional advice tailored to the specific facts and circumstances of the case.

TVAC is a structured assessment tool designed to evaluate whether and when tokenization may create added value relative to conventional alternatives. Its outputs reflect a methodology-based analytical framework operating under uncertainty. They are not guarantees of commercial success, feasibility, investor demand, regulatory approval, liquidity, execution quality, budget outcome, or risk reduction.

Any scores, verdicts, scenarios, stakeholder assessments, suggested actions, implementation observations, and roadmap elements in this report are indicative only and depend on the quality, completeness, and interpretation of the input data, as well as on assumptions about structure, jurisdiction, service-provider readiness, market conditions, execution capability, and timing.

Tokenization outcomes can differ materially from this assessment if key conditions change, including legal structuring, investor scope, jurisdiction count, custody model, distribution pathway, settlement design, governance arrangements, servicing readiness, technology integration, cost allocation, evidence quality, or liquidity support.

A TVAC verdict is a tokenization added-value verdict only. It must not be presented or used as investment approval, credit rating, yield validation, issuer endorsement, regulatory approval, due diligence report, or investor recommendation. TVAC does not validate projected returns, coupon payments, credit quality, valuations, legal enforceability, tax treatment, or investor suitability.

This report does not replace formal legal analysis, regulatory review, tax analysis, technical architecture review, cybersecurity review, accounting assessment, operational diligence, commercial validation, or board-level decision processes. Independent advice should always be obtained before any structuring, issuance, distribution, investment, operational, or implementation decision is made.

Neither TVAC nor Astoval assumes responsibility for actions taken on the basis of this report alone. Users remain solely responsible for all commercial, legal, regulatory, operational, and strategic decisions related to any proposed tokenization initiative.



Tokenization Value-Add Calculator

## A PRODUCT BY ASTOVAL

Astoval provides independent, AI-enhanced early-stage decision support for asset tokenization, helping organizations assess whether tokenization creates genuine added value before significant resources are committed to legal structuring, platform selection or implementation.

## PRIVACY AND DATA

Case inputs and generated reports are processed for delivery and are not intentionally retained as a persistent customer-case record in the standard self-service flow. OpenAI API data is not used for model training unless the API customer opts in; separate abuse-monitoring retention may apply for up to 30 days.

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